CASCADIA ANALYTICS

Semtech Corporation

Equity Research Note | SMTC | 21 OCTOBER 2026

AI Data Center Inflection

Semtech screens as a Hold, Valuation Concerns with a $67.94 blended target, 50% below the current price.

Analyst: Justin Wen

REFERENCE PRICE	BLENDED TARGET	BLENDED UPSIDE	
$136.20	$67.94	-50%	HOLD, VALUATION CONCERNS

Investment Thesis

AI Data Center Inflection. Record Q2 FY27 revenue of $341.9M (+33% YoY). Q3 guided to $405-415M vs $360M Street, with data center expected +120% YoY. Data center mix heading to 44% of revenue by end of 2027 [8-K Q2 FY27]. Portfolio Upgrade. Selling the lower-margin cellular module business to Compal for $62M cash to focus on AI networking and LoRa/IoT. Balance sheet repaired via $402.5M zero-coupon converts; net leverage 1.5x [8-K Q2 FY27]. Priced for Perfection. At $136.20 [Mkt 16-Oct-26], the stock trades at

- AI Data Center Inflection
- Portfolio Upgrade
- Priced for Perfection

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The latest print

Portfolio Upgrade. Selling the lower-margin cellular module business to Compal for $62M cash to focus on AI networking and LoRa/IoT. Balance sheet repaired via $402.5M zero-coupon converts; net leverage 1.5x.

Priced for Perfection. At $136.20, the stock trades at more than twice our $66.48 DCF base. The fundamental momentum is real, but the market has already priced in years of flawless execution.

$341.9M	$405-415M	$1.02-1.08	$0.71	~30%	1.5x
REVENUE (Q2 FY27)	Q3 FY27 REVENUE GUIDE	Q3 FY27 EPS GUIDE	EPS (Q2 FY27, NON-GAAP)	DATA CENTER MIX (EST.)	NET LEVERAGE

Key metrics in detail

METRIC	LATEST	VS YEAR AGO	TREND
Revenue (Q2 FY27)	$341.9M	+33.0%	Up
Q3 FY27 Revenue Guide	$405-415M	n/a	Up
Q3 FY27 EPS Guide	$1.02-1.08	n/a	Up
EPS (Q2 FY27, non-GAAP)	$0.71	+16% beat	Up
Data Center Mix (est.)	~30%	+120% growth guided	Up
Net Leverage	1.5x	Improved	Down
Revenue (FY25)	$909M	+4.7%	Up

The moat

AI data center networking: TIAs, drivers, LPO design wins, CopperEdge/ACC ramps

The growth engine

LoRa Plus (LR2022/LR2012) in full production expanding IoT reach

Three scenarios make the valuation range explicit

Three scenarios, weighted 25% / 50% / 25% into the blended target.

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SCENARIO	WEIGHT	2026-30 CAGR	2030 REVENUE	2030 EBIT MARGIN	TARGET	UPSIDE
Bear	25%	10.0%	$1.71B	26.1%	**$40.47**	-70%
Base	50%	17.3%	$2.22B	33.4%	**$66.48**	-51%
Bull	25%	23.0%	$2.68B	41.0%	**$98.33**	-28%

Bear: downside case at $40.47 (-70%).

Base: central case at $66.48 (-51%).

Bull: upside case at $98.33 (-28%).

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The probability-blended target implies 50% downside

A 25% Bear / 50% Base / 25% Bull weighting implies -50% from the $136.20 reference price.

$67.94
BLENDED TARGET

The valuation uses a multi-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

Mechanics are explicit. The bridge runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Revenue base (2025E)	**$1.17B**
Valuation horizon	**2026-2030**
Live WACC	**10.07%**
Terminal growth	**2.5%**
Net debt	**$340M**
2030 FCF (Base)	**$621M**
10-year Treasury yield	**5.1%**
Beta	**1.50**
Equity risk premium	**3.4%**

HOLD, VALUATION CONCERNS | $67.94 BLENDED TARGET | WEN

The reverse DCF: what the market prices in

Holding the base-case FCF margin flat, the market-implied revenue CAGR is 40.0%. at/above Bull (23%) — euphoric

Reverse DCF sensitivity

Implied enterprise value and share price at each five-year revenue CAGR, with the base-case free cash flow margin held flat. The highlighted row sits nearest the market-implied CAGR.

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Semtech Corporation valuation framework

CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price
+0%	$4.1B	$36.82	+20%	$7.9B	$74.85	**+40%**	**$14.1B**	**$136.11**
+1%	$4.2B	$38.28	+21%	$8.1B	$77.30	+41%	$14.4B	$139.92
+2%	$4.4B	$39.79	+22%	$8.4B	$79.81	+42%	$14.8B	$143.81
+3%	$4.5B	$41.33	+23%	$8.6B	$82.38	+43%	$15.2B	$147.78
+4%	$4.7B	$42.92	+24%	$8.9B	$85.00	+44%	$15.6B	$151.84
+5%	$4.8B	$44.55	+25%	$9.2B	$87.69	+45%	$16.1B	$155.97
+6%	$5.0B	$46.23	+26%	$9.5B	$90.44	+46%	$16.5B	$160.20
+7%	$5.2B	$47.95	+27%	$9.7B	$93.26	+47%	$16.9B	$164.50
+8%	$5.4B	$49.72	+28%	$10.0B	$96.14	+48%	$17.4B	$168.89
+9%	$5.5B	$51.53	+29%	$10.3B	$99.08	+49%	$17.8B	$173.37
+10%	$5.7B	$53.39	+30%	$10.6B	$102.10	+50%	$18.3B	$177.94
+11%	$5.9B	$55.31	+31%	$10.9B	$105.18	+51%	$18.7B	$182.59
+12%	$6.1B	$57.27	+32%	$11.3B	$108.33	+52%	$19.2B	$187.34
+13%	$6.3B	$59.28	+33%	$11.6B	$111.54	+53%	$19.7B	$192.18
+14%	$6.5B	$61.34	+34%	$11.9B	$114.83	+54%	$20.2B	$197.11
+15%	$6.7B	$63.46	+35%	$12.3B	$118.19	+55%	$20.7B	$202.13
+16%	$7.0B	$65.63	+36%	$12.6B	$121.63	+56%	$21.2B	$207.26
+17%	$7.2B	$67.85	+37%	$13.0B	$125.13	+57%	$21.8B	$212.47
+18%	$7.4B	$70.13	+38%	$13.3B	$128.71	+58%	$22.3B	$217.79
+19%	$7.6B	$72.46	+39%	$13.7B	$132.37			

Balance sheet and share count reconciliation

Enterprise value converts to equity value after net debt, and targets divide by diluted shares.

SCENARIO	ENTERPRISE VALUE	EXIT EV/ FCF	TERMINAL GROWTH	PLUS: NET CASH	EQUITY VALUE	TARGET
Bear	$4.42B	—	2.5%	-$340M	$4.08B	**$40.47**
Base	$7.04B	—	2.5%	-$340M	$6.70B	**$66.48**
Bull	$10.25B	—	2.5%	-$340M	$9.91B	**$98.33**

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Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

SCENARIO	2026	2026	2027	2028	2029	2030
Bear	$44.45	$44.45	$47.40	$50.14	$52.56	$54.54
Base	$73.03	$73.03	$78.86	$84.40	$89.40	$93.46
Bull	$108.01	$108.01	$117.30	$126.29	$134.49	$141.17

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $67.94 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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The franchise deep dive

AI data center networking: TIAs, drivers, LPO design wins, CopperEdge/ACC ramps

LoRa Plus (LR2022/LR2012) in full production expanding IoT reach

Cellular module divestiture ($62M) sharpens focus on high-margin segments

Revenue and margin trend

METRIC	FY22	FY23	FY24	FY25	TTM
Revenue	$1.15B	$869M	$869M	$909M	$1.05B
Gross Margin	62.1%	58.4%	51.2%	55.8%	60.5%
Op Margin	18.5%	-12.4%	-95.2%	-8.5%	12.0%

Valuation cross-check

NTM P/E 23.3x

DCF Base $66.48 vs $136.20 spot

PEG 1.21

DCF implies the stock is worth less than half its current price. Absolute valuation is stretched.

Analog peers ~20-25x NTM P/E

Multiple is in line with high-growth analog peers, but peers are not priced at 2x DCF base.

Trading near all-time highs

Well above historical multiple range; the re-rating assumes the AI mix shift is permanent.

What to monitor

Nov/Dec 2026. Q3 FY27 Earnings: $405-415M guide vs $360M Street. A beat confirms the inflection; a miss would be severe.

H2 2026. CopperEdge/ACC volume ramps with hyperscalers.

2027. Data center mix targeted at 44% of revenue by year-end.

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Financial summary: income statement

YEAR	REVENUE	GROSS PROFIT	OPERATING INCOME	EBITDA
2023	$757M	$479M	$86M	$127M
2024	$869M	$296M	$-125M	$-863M
2025	$909M	$457M	$62M	$-53M
2026	$1.0B	$542M	$123M	$39M

Balance sheet

YEAR	TOTAL ASSETS	TOTAL LIABILITIES	TOTAL EQUITY	CASH
2023	$2.6B	$1.8B	$756M	$236M
2024	$1.4B	$1.7B	$-307M	$129M
2025	$1.4B	$877M	$542M	$152M
2026	$1.4B	$861M	$550M	$195M

Cash flow

YEAR	OPERATING CF	CAPEX	FINANCING CF	FREE CF
2023	$127M	$-28M	$1.1B	$98M
2024	$-94M	$-31M	$11M	$-125M
2025	$58M	$-14M	$-22M	$44M
2026	$181M	$-16M	$-101M	$165M

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $67.94 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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Agency risk score 48 of 100: balanced, typical corporate alignment

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 0.77% of shares outstanding. Form 4 filings over the trailing six months show $0 of open-market purchases against $9.40M of sales, a net flow of -$9.40M. One-year total shareholder return is +109.1% against CEO total pay of $1.59M (Dr. Hong Q. Hou Ph.D.), which the model scores as PERFORMANCE EARNED.

48

AGENCY RISK SCORE, OF 100

The three components

COMPONENT	SCORE	WHAT THE SITE SHOWS
Insider Ownership (Skin in the Game)	8 / 40	0.77% of shares held by insiders
Form 4 Flow (Conviction Flow)	14 / 30	Buys $0 (0) vs sales $9.40M (26), net -$9.40M, trailing six months
Pay-for-Performance	26 / 30	PERFORMANCE EARNED: Stock Outperformance Matches Comp Structure. 1Y TSR +109.1%; Dr. Hong Q. Hou Ph.D., President, CEO & Director, total pay $1.59M
Agency Risk Score	**48 / 100**	Regime: BALANCED / TYPICAL CORPORATE

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Recent Form 4 filings

DATE	FILER	RELATION	TYPE	SHARES	VALUE
2026-10-02	Hou Hong Q	Chief Executive Officer	SELL	2,000	$382.4K
2026-10-01	Lin Mark	Chief Financial Officer	SELL	967	$173.0K
2026-09-10	Lin Mark	Chief Financial Officer	SELL	683	$109.2K
2026-09-04	Hou Hong Q	Chief Executive Officer	SELL	2,000	$277.4K
2026-09-04	Ruehl Julie Garcia	Director	SELL	1,500	$217.5K
2026-08-19	Walsh Paul V Jr	Director	SELL	500	$67.7K
2026-08-17	Silberstein Asaf	Chief Operating Officer	SELL	5,000	$750.0K
2026-08-07	Hou Hong Q	Chief Executive Officer	SELL	2,000	$280.0K

SEC proxy audit, DEF 14A filed 2026-04-21

Alignment grade C. COMPENSATION DATA OMITTED IN EXCERPT. Hong Q. Hou, fiscal 2026 vs fiscal 2025; total compensation change year on year: N/A.

BASE SALARY	STOCK AWARDS	NON-EQUITY INCENTIVE	OTHER COMPENSATION
N/A	N/A	N/A	N/A

The provided excerpt includes governance highlights and director nominee profiles but ends prior to the Compensation Discussion and Analysis and Summary Compensation Table. Consequently, specific dollar amounts for CEO Hong Q. Hou's base pay, annual incentive targets, and long-term equity grants cannot be calculated. Complete review of pages 36 through 75 of the filing is required to assess compensation shifts and quantitative pay-for-performance alignment.

Proxy audit source: SEC EDGAR DEF 14A, audited 2026-10-18 by the weekly proxy pipeline. Filing: https://www.sec.gov/Archives/edgar/data/88941/000114036126015949/ny20064946x771_def14a.htm

Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 21 October 2026 for this note.

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The bear case

Valuation Risk

At more than 2x DCF base, any stumble in the hypergrowth narrative implies 30-50% downside to fair value.

Customer Concentration

Hyperscaler ramps are lumpy; a pushout at any major AI customer hits the quarter.

Cyclicality

Analog semis remain cyclical; the current upcycle will eventually normalize.

The strengths

Operating Quality

Analog/mixed-signal connectivity with growing data center mix, but a history of GAAP losses (FY25 net loss -$162M) and high beta (2.42). Balance sheet repaired but still levered at 1.5x.

Recent Trend

Record quarterly revenue, EPS beat ($0.71 vs $0.61), margins expanding, record backlog. Q3 guidance implies a massive sequential step-up. Textbook acceleration.

Forward Growth

Data center guided +120% YoY in Q3, LoRa Plus in full production, CopperEdge/ACC ramps with hyperscalers. Multiple banks raised targets to $220-300 on the print.

Valuation

At $136.20 the stock is 105% above our $66.48 DCF base case. NTM P/E 23.3x looks reasonable only if the hypergrowth guidance is fully delivered.

Cascadia scorecard

Composite score 68: Attractive. Confidence High, as of 17-Oct-2026.

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PILLAR	RATIONALE	SCORE
Operating Quality	Analog/mixed-signal connectivity with growing data center mix, but a history of GAAP losses (FY25 net loss -$162M) and high beta (2.42). Balance sheet repaired but still levered at 1.5x.	65
Recent Trend	Record quarterly revenue, EPS beat ($0.71 vs $0.61), margins expanding, record backlog. Q3 guidance implies a massive sequential step-up. Textbook acceleration.	88
Forward Growth	Data center guided +120% YoY in Q3, LoRa Plus in full production, CopperEdge/ACC ramps with hyperscalers. Multiple banks raised targets to $220-300 on the print.	85
Valuation	At $136.20 the stock is 105% above our $66.48 DCF base case. NTM P/E 23.3x looks reasonable only if the hypergrowth guidance is fully delivered.	35
Catalysts & Risk	Q3 earnings (Nov/Dec) will test the $410M guide. Cellular divestiture closing is a positive. High beta means sharp drawdowns on any guide miss. Positive skew near-term.	75

Investment view

A Q3 FY27 miss on the $410M revenue guide would cut Forward Growth and Trend sharply. Sustained 100%+ data center growth into 2027 could justify a higher multiple.

Investment view: Hold, Valuation Concerns. The $67.94 blended target implies -50%, balancing the $40.47 / $66.48 / $98.33 Bear / Base / Bull outcomes.

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